Revision Date:
January 1, 2021

Background:
Counties are responsible for preventing and discovering fraudulent actions and completing an investigation when fraud is suspected.

Purpose:
The purpose of this section is to provide the definition of fraud and explain the criteria for fraud allegations. This material revision is to consolidate the Integrity sections, change to the current format and to remove processes from the Program Guide and move them to CalWORKs Processing Guide 20-000.A1.

Policy:
Definition of Fraud
Fraud exists when a person, on behalf of themself or others, has knowingly and with intent to deceive or defraud:

- Made a false statement or representation to obtain benefits, obtain a continuance or increase of benefits, or avoid a reduction of benefits
- Failed to disclose a fact, which, if disclosed, could have resulted in a denial, reduction or discontinuance of benefits
- Accepted benefits to which they were not entitled or accepted an amount of benefits knowing it is greater than the amount to which they are entitled
- Made statements for the purpose of obtaining benefits, continuing to obtain benefits or avoiding a reduction or denial of benefits that they did not know to be true with reckless disregard for the truth

Fraud Related Allegations
The following are examples of allegations that are considered fraud-related and may require a fraud referral to the Bureau of Public Assistance Investigations (BPAI):

- Residency is questionable, for example, suspicion that the Assistance Unit (AU) is living out of the state or country
- Child out of home
- Unreported income
- Unreported property
- Expenses exceed income (how does the customer meet their needs?)
- Documentation submitted appears to have been altered or counterfeit
- Duplicate aid
- The deprivation for the case is "Absent Parent" and it is suspected that the absent parent is in the home

Non-Fraud Related Allegations
The following examples of allegations are not considered fraud-related therefore a fraud referral to BPAI will not be made (neither will such a referral be accepted by BPAI). In some instances, a referral to another responsible agency, such as Child Welfare Services, may be appropriate and necessary:

- Child abuse/neglect

- Drug/Alcohol abuse
- Non-payment of rent obligation
- Unrelated Adult (UA) in the home/misuse of funds
  - Note: Misuse means improper use and is different from fraud, refer to CPG 43-100.D
- Paternity is at issue
  - Note: Establishment of paternity is the function of Local Child Support Agency (LCSA), not BPAI
- Unreported income from illegal sources, such as drug trade and sex work

Procedure:
Processing Guide 20-00.A.1

Program Impacts:
None

References:
EAS 20-003, 20-004, 20-101, 20-201.2

Sunset Date:
This policy will be reviewed for continuance by December 31, 2023.

Approval for Release:



1-13-21

Rick Wanne, Director
Eligibility Operations